

Marvell (MRVL US)

Inline Quarter; Eyes on Investor Day

Maintained **Buy**
Target price \$290

Retain Buy and TP of \$290: Marvell's F2Q results were largely inline, while elevated expectations into the print sent shares down 7.8% after hours. F2Q revenue of \$2.74bn, +13% QoQ/+37% YoY vs Cons of \$2.7bn, and non-GAAP EPS of \$0.94, +18% QoQ/+40% YoY vs Cons of \$0.93. For F3Q, management guided revenue of \$3.15bn, implying +15% QoQ/+50% YoY, with GM to decline QoQ purely driven by mix as custom ASIC ramps. Management expects margin to remain within F3Q range through F4Q, with operating leverage expected to push non-GAAP OPM toward the 38%-40% target. Longer-term, the CEO raised FY27E revenue outlook to ~\$12bn (from \$11.5bn) and FY28E revenue outlook to ~\$18bn (from \$16.5bn), driven by robust data center outlook. We revise our EPS by +7%/+3% in FY27E/FY28E. Retain Buy rating and TP of \$290, still based on 20x FY29E EPS.

Maintain ~\$10bn AI ASIC revenue in FY29E, yet We expect \$16bn+: Marvell's custom silicon business is set for explosive expansion, with management guiding >100% YoY growth for in FY28E. Google's multi-year framework agreement spans multiple product lines including inference accelerators, storage controllers, NICs, CXL memory interfaces and near-memory compute. Only a modest portion of related revenue will be recognized in FY28E, while material volume ramp-up is expected in FY29 and beyond, serving as a key upside driver for \$10B+ FY29E target. Mgmt. also mentioned another large hyperscaler XPU project is making solid progress and constitutes a major contributor to FY28E custom silicon growth.

Connectivity as the largest driver behind \$18bn FY28E Guidance: On Scale-out, 800G demand stays robust while 1.6T DSPs are ramping rapidly with further acceleration for FY28E. Revenue from 51.2T switches is expected to double this fiscal year alongside expanding customer adoption. For Scale-across, AI clusters demand roughly 10x more bandwidth compared with legacy DCI environments, creating strong tailwinds for 1.6T ZR/ZR+ coherent DSP for inter-data-center connectivity. On Scale-up deployments, the Celestial AI acquisition strengthens Marvell's CPO/NPO, optical fabric capabilities. Management commented that the FY28E Scale-up optical revenue opportunity is meaningfully larger than the prior \$300mn expectation. Of note, Marvell has allocated approximately \$1bn in supplier prepayments to secure sufficient capacity.

Risks: 1) AI demand slowdown; 2) ASIC project delay; 3) peer competition.

Profit forecast

	FY25	FY26	FY27E	FY28E	FY29E
Revenue (m)	5,767	8,195	12,102	20,762	38,104
Revenue YoY (%)	4.7	42.1	47.7	71.6	83.5
Net profit (m)	1,377	2,466	4,109	7,334	13,826
Net profit YoY (%)	5.1	79.0	66.7	78.5	88.5
EPS (\$)	1.6	2.9	4.4	8.0	14.5
P/E	142.2	77.3	50.5	28.0	15.3
ROE (%)	10.3	17.2	20.1	24.4	32.4

Source: Company data, GF Securities (Hong Kong) Brokerage.

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Earnings Forecast

Earnings revision

By factoring results and guidance, we revise our FY27E/FY28E EPS estimates by +7%/+3%, respectively.

Figure 1: Earnings revision

USD m	FY26	FY27E		FY28E		Change (%)	
		Old	New	Old	New	FY27E	FY28E
Net sales	8,195	11,524	12,102	20,354	20,762	5%	2%
Gross profit	4,872	6,786	7,101	11,602	11,834	5%	2%
Operating profit	2,889	4,067	4,461	7,426	7,742	10%	4%
Pre-tax Income	2,363	3,888	4,282	7,306	7,622	10%	4%
Net profit	2,466	3,683	4,109	6,920	7,334	12%	6%
EPS (\$)	2.88	4.12	4.41	7.75	7.96	7%	3%
Key ratios (%)							
Gross margin	59.5%	58.9%	58.7%	57.0%	57.0%		
Operating margin	35.3%	35.3%	36.9%	36.5%	37.3%		
Pre-tax margin	28.8%	33.7%	35.4%	35.9%	36.7%		
Net profit margin	30.1%	32.0%	34.0%	34.0%	35.3%		

Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 2: MRVL's P&L forecast

(USD m)	FY26	F1Q27	F2Q27	F3Q27E	F4Q27E	FY27E	F1Q28E	F2Q28E	F3Q28E	F4Q28E	FY28E
Sales	8,195	2,418	2,739	3,209	3,736	12,102	3,860	4,471	5,450	6,980	20,762
COGS	3,323	994	1,125	1,332	1,550	5,001	1,660	1,923	2,344	3,001	8,928
Gross profit	4,872	1,424	1,614	1,877	2,186	7,101	2,200	2,549	3,107	3,979	11,834
Opex	1,983	683	769	853	954	2,640	1,075	1,210	0	911	4,093
Operating profit	2,889	847	1,003	1,194	1,416	4,461	1,347	1,595	2,031	2,769	7,742
Non-operating profit	-526	-89	-30	-30	-30	-179	-30	-30	-30	-30	-120
Pre-tax profit	2,363	758	973	1,164	1,386	4,282	1,317	1,565	2,001	2,739	7,622
Income tax	103	-40	-37	-44	-52	-173	-50	-59	-75	-103	-287
Non-GAAP Net Income	2,466	718	866	1,120	1,334	4,039	1,268	1,506	1,926	2,636	7,334
Non-GAAP EPS (\$)	2.88	0.80	0.94	1.22	1.45	4.41	1.38	1.63	2.09	2.86	7.96
Diluted shares	856	893	921	921	921	893	921	921	921	921	921
Margin analysis											
Gross margin	59.5%	58.9%	58.9%	58.5%	58.5%	58.7%	57.0%	57.0%	57.0%	57.0%	57.0%
Operating margin	35.3%	35.0%	36.6%	37.2%	37.9%	36.9%	34.9%	35.7%	37.3%	39.7%	37.3%
Pre-tax margin	28.8%	31.4%	35.5%	36.3%	37.1%	35.4%	34.1%	35.0%	36.7%	39.2%	36.7%
Effective tax rate	-4.3%	5.3%	3.8%	3.8%	3.8%	4.0%	3.8%	3.8%	3.8%	3.8%	3.8%
Growth (% YoY)											
Sales	42%	28%	37%	55%	68%	48%	60%	63%	70%	87%	72%
Operating profit	74%	31%	44%	59%	79%	54%	59%	59%	70%	95%	74%
Net income	79%	33%	48%	71%	95%	64%	77%	74%	72%	98%	82%
EPS	84%	30%	40%	60%	81%	53%	71%	74%	72%	98%	81%
Product mix (%)											
Data center	74%	76%	79%	84%	81%	81%	82%	84%	87%	90%	86%
Carrier	7%	7%	6%	5%	5%	6%	5%	5%	4%	3%	4%
Enterprise networking	10%	10%	9%	7%	8%	8%	8%	7%	5%	4%	6%
Auto industrial	5%	5%	4%	3%	4%	4%	4%	3%	3%	2%	3%
Consumer	3%	2%	2%	1%	1%	2%	1%	1%	1%	1%	1%

Sources: Company data, GF Securities (Hong Kong) Brokerage

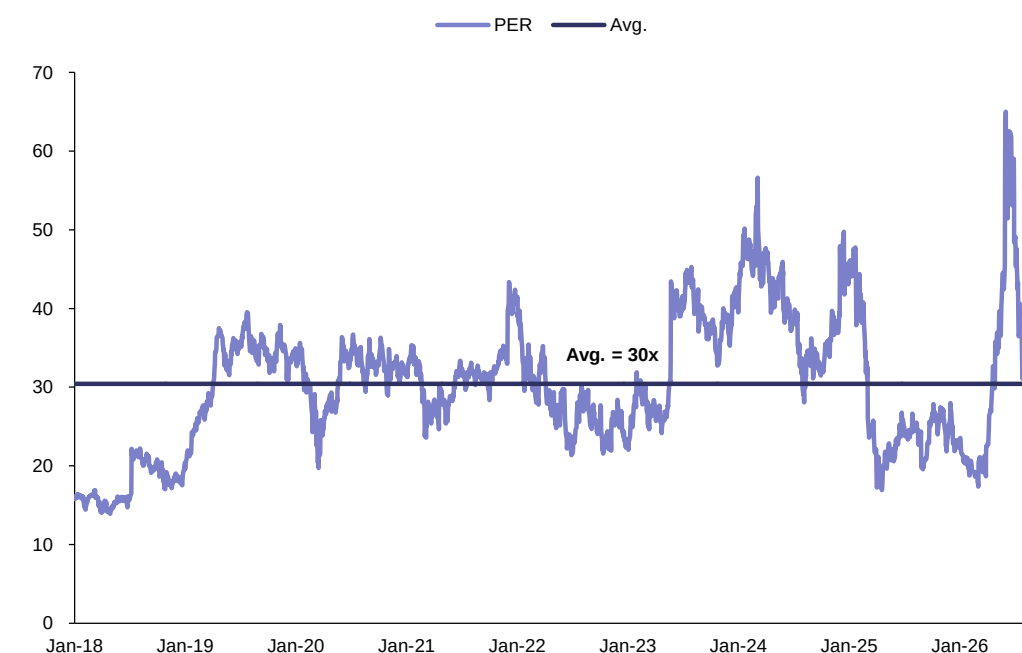
Valuation and Recommendation

Maintain Buy with TP of \$290

We maintain Marvell (MRVL US) at Buy rating with TP of \$290, based on 20x our FY29E (CY2028) EPS estimate. We adopt P/E methodology as we believe the market will be mainly focused on the company's earnings outlook, and we usually apply P/E method to technology firms with robust growth.

Marvell's P/E traded at an average of 20-40x since 2018 since the launch of ChatGPT. On relative basis, the peer group trades at an average of 20-40x forward P/E. Our target price is based on 20x FY29E P/E, which is inline of its mid-term valuation within this AI cycle.

Figure 3: MRVL's 12-month forward P/E



Sources: Company data, GF Securities (Hong Kong) Brokerage

Risks

1) AI demand slowdown; 2) ASIC project delay; 3) peer competition.

Balance Sheet						USD mn
	FY25	FY26	FY27E	FY28E	FY29E	
Current assets	3,120	6,461	10,577	20,524	32,499	
Cash and cash equivalents	948	2,639	5,595	11,236	18,798	
Inventory	1,030	1,388	1,727	3,360	5,140	
Accounts Receivable	1,028	2,187	3,026	5,653	8,281	
Other current assets	114	247	230	275	279	
Non-current assets	17,084	15,825	17,755	18,927	20,669	
Long-term equity investment	-	-	-	-	-	
Fixed assets	791	935	1,392	2,353	4,115	
Other long-term assets	16,294	14,890	16,363	16,575	16,554	
Total assets	20,205	22,285	28,332	39,451	53,168	
Current liabilities	2,027	3,221	2,413	3,493	4,541	
Accounts Payable	622	1,074	1,088	2,117	3,102	
Short-term borrowings	130	500	-	-	-	
Other current liabilities	1,275	1,647	1,325	1,376	1,439	
Non-current liabilities	4,751	4,756	5,779	5,885	5,947	
Long-term Debt	3,934	3,971	4,966	4,973	4,979	
Other non-current liabilities	816	786	813	912	968	
Total liabilities	6,778	7,977	8,192	9,378	10,488	
Total Equity	13,427	14,308	20,141	30,073	42,680	
Share Capital	2	2	2	2	2	
Additional Paid-in Capital	14,535	12,951	17,607	23,921	27,170	
Retained earnings	-1,109	1,356	2,532	6,150	15,508	
Minority interests	-	-	-	-	-	
Total Liabilities & Equity	20,205	22,285	28,332	39,451	53,168	

Income Statement						USD mn
	FY25	FY26	FY27E	FY28E	FY29E	
Revenue	5,767	8,195	12,102	20,762	38,104	
Cost of sales	2,247	3,323	5,001	8,928	17,528	
Gross profit	3,521	4,872	7,101	11,834	20,576	
Operating Expense	1,856	1,983	2,640	4,093	6,088	
Operating profit	1,665	2,889	4,461	7,742	14,488	
Interest Income	15	-11	-	-	-	
Interest Expense	189	203	214	199	199	
Net other Non-op. Income/(Loss)	-9	-313	35	79	79	
Pre-tax profit	1,481	2,363	4,282	7,622	14,368	
Income tax	104	-103	173	287	542	
Profit for the year	1,377	2,466	4,109	7,334	13,826	
Minority interest	-	-	-	-	-	
Net profit to ord. equity	1,377	2,466	4,109	7,334	13,826	
EPS (\$)	1.6	2.9	4.4	8.0	14.5	

Cash Flow Statement						USD mn
	FY25	FY26	FY27E	FY28E	FY29E	
Operating cash flow	1,681	1,751	3,950	8,583	14,049	
Net profit (GAAP)	-885	2,670	1,392	3,837	9,579	
Depreciation & amortization	717	491	383	431	533	
Change in working capital	-852	-1,108	1,324	3,231	3,425	
Others	2,701	-302	850	1,084	513	
Investing cash flow	-301	2,098	-1,873	-960	-1,762	
Capex	-285	-327	-604	-960	-1,762	
Change in investment	-	2,479	-1,271	-	-	
Others	-16	-54	2	-	-	
Free cash flow	1,397	1,424	3,346	7,623	12,286	
Financing cash flow	-1,383	-2,158	880	-1,982	-4,724	
Change in Capital	-676	-2,040	-950	-1,700	-4,500	
Net Change in Debt	-109	969	494	6	6	
Others	-598	-1,087	1,336	-288	-230	
Exchange influence	-	-	-	-	-	
Net increase in cash	-3	1,691	2,956	5,641	7,562	

Key Financial Ratios					
	FY25	FY26	FY27E	FY28E	FY29E
Growth					
Revenue growth	4.7	42.1	47.7	71.6	83.5
Operating profit growth	4.1	73.5	54.4	73.5	87.1
Net profit growth	5.1	79.0	66.7	78.5	88.5
Profitability					
Gross profit margin	61.0	59.5	58.7	57.0	54.0
Operating Profit Margin	28.9	35.3	36.9	37.3	38.0
Net profit margin	23.9	30.1	34.0	35.3	36.3
Key Ratio					
ROA	6.6	11.6	16.2	21.6	29.9
ROE	10.3	17.2	20.1	24.4	32.4
Stability					
Gross debt/equity	50.5	55.7	40.7	31.2	24.6
Interest Coverage	8.8	12.7	21.0	39.3	73.2
Current Ratio	1.5	2.0	4.4	5.9	7.2
Quick Ratio	1.0	1.6	3.7	4.9	6.0
Net debt/equity	23.2	12.8	Net Cash	Net Cash	Net Cash

Rating definitions Benchmark: Hang Seng Index (Hong Kong)

Company ratings	Buy	Stock expected to outperform benchmark by more than 10%
	Hold	Expected stock relative performance ranges between -10% and 10%
	Underperform	Stock expected to underperform benchmark by more than 10%

Sector ratings	Positive	Sector expected to outperform benchmark by more than 10%
	Neutral	Expected sector relative performance ranges between -10% and 10%
	Cautious	Sector expected to underperform benchmark by more than 10%

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